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NCBA Kenya HY'25 Earnings Note

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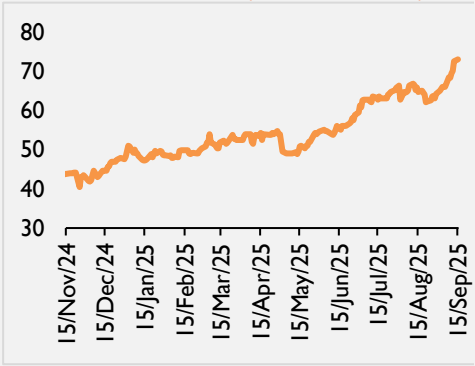


NCBA Group HY'25 Earnings Note

September 15th, 2025

Ticker Information	
NSE Code:	NCBA
Issued Shares (Bn):	1.65
52-week high:	KES 75.0
52-week low:	KES 28.5

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	12.7%	28.6%	40.4%	67.2%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
HOLD	**KES 73.00**	**KES 74.80**

Summary

- **NCBA posted a 12.6% y/y growth in net earnings to KES 11.05 Bn from KES 9.81 Bn, driven primarily by a 39.3% y/y decline in interest expenses, attributable to a reduction in customer deposits and an improved funding mix through a stronger CASA base.** This supported net interest income, which grew 26.7 y/y to KES 20.85 Bn, despite a 10.7% y/y drop in interest income to KES 33.97 Bn. Asset quality also improved, evidenced by a 6.8% y/y decline in Gross NPLs to KES 38.14 Bn, with the Gross NPL ratio easing by 2 bps to 12.6%. Meanwhile, trailing return on equity rose by 6.0 bps to 21.0%, while trailing return on assets edged up to 3.4%.

Key Highlights

- **Earnings Mix:** NCBA's interest income declined by 10.7% y/y to KES 33.97 Bn, attributed to the easing monetary environment which weighed on earnings from loans and advances, coupled with a 7.0% y/y contraction in the loan book. Interest income from government securities also slipped 3.1% y/y, on the back of a softening yield curve. The lender capitalized on declining rates to ease funding costs, with interest expense on deposits falling by 39.6% y/y to KES 12.24 Bn, further supported by a 6.0 y/y contraction in customer deposits. Non-Funded Income slowed 2.9% y/y to KES 14.48 Bn, largely due to a 34.0% y/y drop in FX trading income to KES 2.43 Bn as the stable Kenyan shilling continued to compress spread margins. On the upside, other income registered strong growth of 43.3% y/y to KES 2.82 Bn.

- **Asset Quality:** NPL stock decreased by 6.8% y/y to KES 38.1 Bn, while the Gross NPL ratio improved by 2 bps to 12.6%. In addition, NPL coverage strengthened by 5.7% points to 65.5%, supported by higher provisions of KES 13.76 Bn as well as the decline in NPL stock. Looking ahead, we expect default rates to reduce as lending rates continue to trend lower, which should support an improvement in asset quality.

Balance Sheet Dynamics

Total assets declined by 3.8% y/y to KES 662.96 Bn, largely driven by a 7.0% y/y contraction in loans and advances to KES 288.08 Bn, partly attributable to subdued credit uptake as well as a cautious stance given the elevated NPL levels in the industry. Corporate clientele accounted for 57.0% of the loan book, while local currency loans formed the bulk of total lending; foreign currency loans declined, impacted by the appreciation of the Kenyan unit. The lender also trimmed its deployment in government securities by 1.1% y/y to KES 216.43 Bn, bucking the industry trend of channeling liquidity into government paper.

Total liabilities contracted by 7.3% y/y to KES 544.51 Bn, largely due to a 6.0% y/y decline in customer deposits to KES 496.97 Bn. Notably, NCBA rebalanced its funding mix by strategically increasing its CASA base to 54% from 49.0%, which is typically cheaper than term deposits and helped ease deposit interest expense. Placements and borrowings also declined by 71.0% y/y and 10.9% y/y to KES 5.84 Bn and KES 8.46 Bn respectively.

Outlook

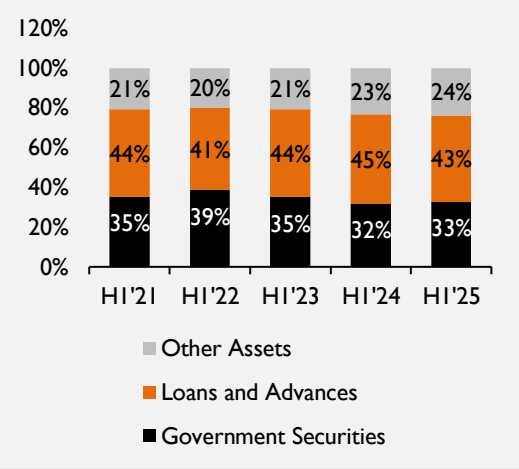
NCBA has demonstrated efficiency in growing earnings despite a decline in revenues, leveraging deposit rebalancing and tactically managing deposit expenses, which has been quite remarkable. Going forward, we expect NCBA to maintain its earnings momentum in the second half of the year, supported by easing cost of funds. The bank is also set to benefit from its diversified business model, with growing revenues from non-banking businesses, specifically insurance (where NCBA IG reported 68.0% y/y growth in profit before tax) and asset management. In addition, the bank's expansion strategies across subsidiaries have boosted its retail franchise, as evidenced by a growing customer base. Continued investment in technology and the promotion of digital adoption, which has seen digital transactions account for 92.1 % of all transactions, will further strengthen its competitiveness in delivering compelling offerings.

The lender has also remained prudent in managing NPLs, a commendable feat given the elevated levels across the industry, and we believe asset quality will continue to improve going forward.

Recommendation

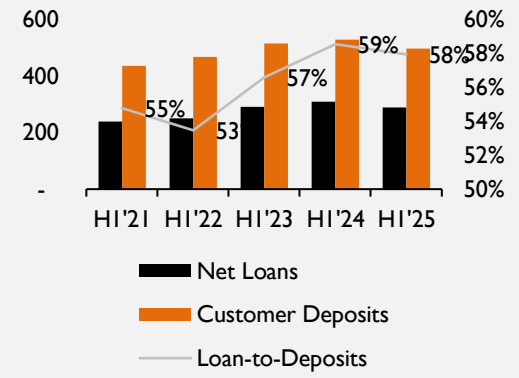
- **We revise our recommendation on NCBA Group to *HOLD*, underpinned by a strong earnings momentum and a well-diversified business model.** At the current market price, the stock is trading at P/E ratio of 4.7x and a P/B ratio of 1.03x. Our one-year target price for NCBA Group currently stands at KES 74.80- representing a c 2.5% upside potential from current levels.

Chart 2: Asset Composition



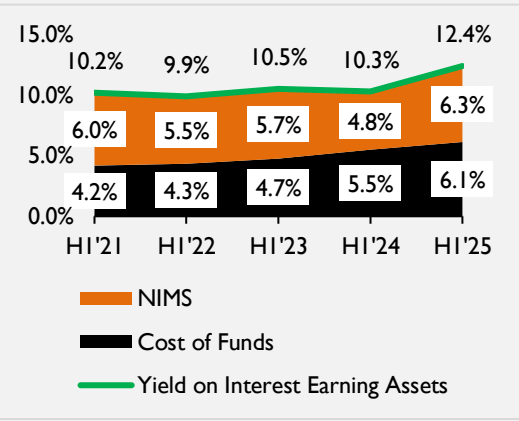
Source: Company filings, AIB-AXYS Research.

Chart 3: Slower Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	H1'21	H1'22	H1'23	H1'24	H1'25	% y/y Change
Net Interest Income	13.43	14.80	17.21	16.45	20.85	▲ 26.7%
Non-Interest Income	10.70	14.18	13.81	14.91	14.48	▼ (2.9%)
Total Operating income	24.13	28.98	31.02	31.36	35.33	▲ 12.7%
Provision for Impairment	(5.92)	(5.56)	(4.39)	(2.71)	(3.23)	▲ 19.1%
Total Operating expenses	(16.33)	(17.08)	(18.66)	(19.20)	(21.78)	▲ 13.5%
Profit before tax	7.41	11.18	12.36	12.16	13.55	▲ 11.4%
Profit after tax	4.66	7.77	9.35	9.81	11.05	▲ 12.6%
Core EPS Annualized	5.65	9.43	11.35	11.91	13.41	▲ 12.6%
DPS	0.00	2.00	1.75	2.25	2.50	▲ 11.1%

Balance Sheet (KES Bn)	H1'21	H1'22	H1'23	H1'24	H1'25	% y/y Change
Government Securities	190.79	232.94	231.68	218.88	216.43	▼ (1.1%)
Loans and Advances	239.60	250.50	292.38	309.66	288.08	▼ (7.0%)
Total Assets	**542.60**	**604.30**	**660.32**	**689.08**	**662.96**	▼ (3.8%)
Customer Deposits	437.34	468.49	516.64	528.89	496.97	▼ (6.0%)
Total Liabilities	468.16	524.04	572.01	587.67	544.51	▼ (7.3%)
Shareholder's Funds	**74.27**	**80.18**	**88.32**	**101.40**	**118.47**	▲ 16.8%

Ratio Analysis	H1'21	H1'22	H1'23	H1'24	H1'25	% y/y Change
Spreads Analysis						
Yield on Assets	10.2%	9.9%	10.5%	10.3%	12.4%	▲ 2.1%
Cost of Funds	4.2%	4.3%	4.7%	5.5%	6.1%	▲ 0.6%
Net Interest Margin	6.0%	5.5%	5.7%	4.8%	6.3%	▲ 1.4%
ROaE	9.1%	17.3%	18.2%	15.0%	21.0%	▲ 6.0%
ROaA	1.2%	2.3%	2.4%	2.1%	3.4%	▲ 1.3%
Profit Margin	19.3%	26.8%	30.1%	31.3%	31.3%	▼ (0.0%)
Operating Efficiency						
Cost to Income Less LLP	43.1%	39.8%	46.0%	52.6%	52.5%	▼ (0.1%)
Cost to Assets Less LLP	1.9%	1.9%	2.2%	2.4%	2.8%	▲ 0.4%
Loan to Deposit	54.8%	53.5%	56.6%	58.6%	58.0%	▼ (0.6%)
Asset Quality						
Gross NPL Ratio	17.1%	14.0%	13.8%	12.7%	12.6%	▼ (0.0%)
NPL Coverage	68.0%	62.2%	57.8%	59.8%	65.5%	▲ 5.7%
Cost of Risk	2.5%	2.2%	1.5%	0.9%	1.1%	▲ 0.2%
Capital Adequacy						
Core Capital/TRWA	19.2%	19.8%	17.9%	19.9%	22.3%	▲ 2.4%
Total Capital /TRWA	19.4%	20.0%	18.0%	19.9%	22.4%	▲ 2.5%
Liquidity	55.1%	55.1%	55.1%	52.9%	55.8%	▲ 2.9%



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